

HDFC Bank Ltd

Ticker: HDFCBANK

ROE

14.3%

ROCE

4.8%

Net Profit Margin

23.1%

Debt/Equity

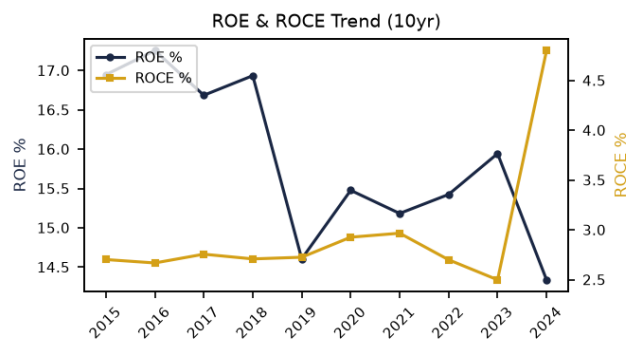
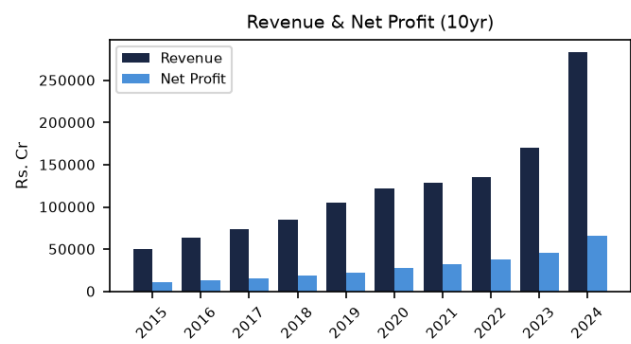
6.8

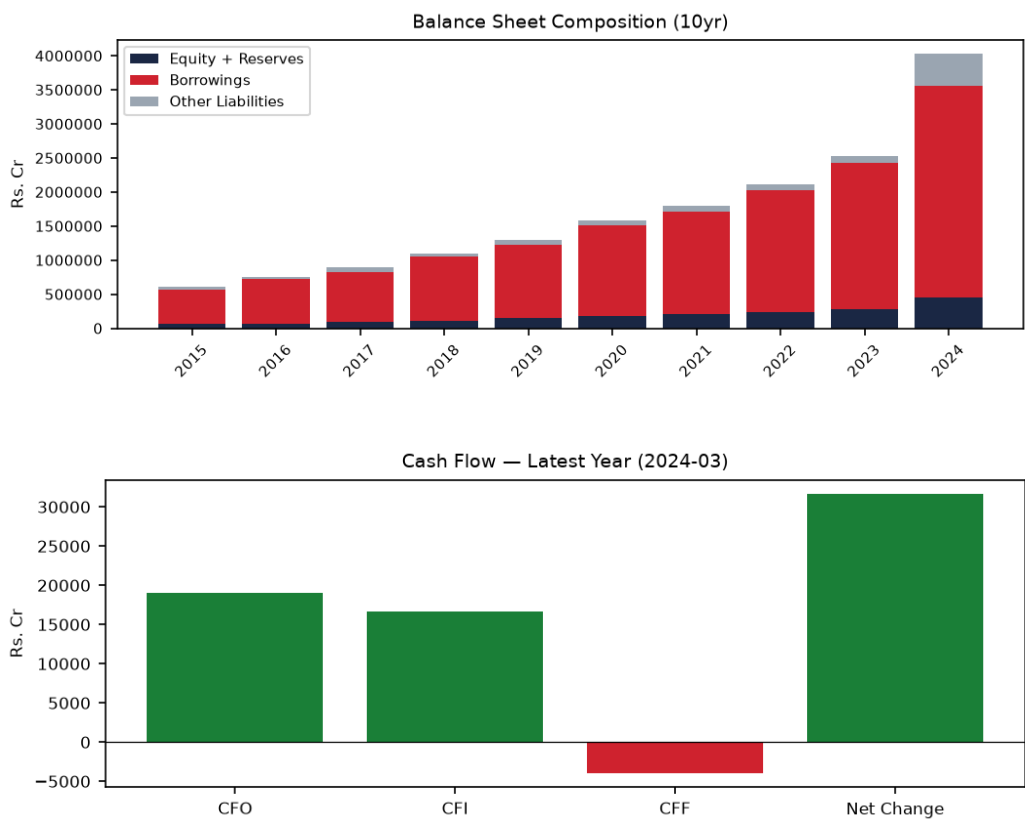
Revenue CAGR 5yr

22.0%

Free Cash Flow

35669.0 Cr





Capital Allocation: Liquidating Assets

Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility